

NATIONAL NETWORK • Y2 → Y5 ROLLOUT

RaceSims

- **National Network**

India's gateway to motorsport. Chennai is the proof point. This is the path from one centre to a national network — and to the next generation of Indian racing drivers.

India's gateway *to motorsport.*

Whether you want to try racing once or pursue it as a career — this is where you start. India has thousands of motorsport aspirants. Unlike most other sports, the entry barrier into motorsport is excruciatingly high. Kart fees, equipment costs, training infrastructure, time — all gate the path to a real cockpit. Everyone aspires; few get to try. **RaceSims removes that gate.** We make racing accessible for the price of a movie ticket, and give those serious about it a structured ladder all the way to the grid.

BUILT ACROSS FOUR LINES OF BUSINESS

01

RaceSims Experience Centres

Premium sim racing venues where anyone in India can come experience motorsport. **Walk-in sessions** · monthly memberships · corporate team events · private parties · café-lounge. **Chennai flagship opens 2026**, scaling to a **100-centre owned-and-operated national network**.

02

RaceSims Hardware Distribution

Official distributor and service partner in India for **world-leading premium sim racing hardware brands**. Every centre doubles as a showroom — bringing world-class racing equipment to Indian consumers and businesses with full after-sales service.

03

RaceSims Motorsport Academy

Where Indians learn to race. **Beginner courses** · progressive curriculum (Initiation → Race Academy → Rally School → Pro Track) · **Track Day Programmes** for supercar owners · **Real Driving Experiences** with ARKA + Buzzing Hornet · 1-on-1 coaching · B2B team training.

04

RaceSims Championships

India's first national-level sim racing leagues — both circuit and rally. **RaceSims Racing Championship + Rally Championship** launch 2027 · broadcast · sponsored · structured seasons with prize structures. Top finishers earn real race seats through our partnerships.

Founded by **Thambu Samy**, working race engineer at **ARKA Motorsports** — India's most-decorated motorsport team with **130+ national championship titles since 1987**.

By 2029, RaceSims will be *two things at once*.

India has **425 million gamers**; **10 million+** play racing games regularly. F1 viewership crossed 50 million in 2024. Yet padel, cricket, climbing, tennis — every other sport has a casual on-ramp. Motorsport hasn't. **We are building both the open door and the structured path.**

WHAT WE'LL HAVE BUILT AT SCALE

100,000+ FIRST-TIME RACERS

Indians who have raced with us — for most, their first time behind a real racing wheel.

2,000+ ACADEMY GRADUATES

Through the full curriculum — Initiation, Race Academy, Rally School, Pro Track — India's first generation of structured-trained sim racers.

RACESIMS-TRAINED ON REAL GRIDS

A measurable cohort of Academy graduates on Indian grids via ARKA Rally Drive and Polo Cup Follow Car.

CHAMPIONSHIP · SEASON 3

Broadcast, sponsored, with established hero drivers and national league standing.

THEN COME THE NUMBERS

CENTRES OPERATING

25

All owned, across 12 cities

REVENUE

₹55 cr

All flows to RaceSims direct

EBITDA

₹10-12 cr

Operating cash starts funding rollout

VALUATION

₹600-800 cr

Series B at Y3

100,000+ customers across the network · 2,000+ Motorsport Academy graduates · First Academy graduate in real-world motorsport seat.

A place where motorsport finally becomes something anyone can try — and where the path to the racing grid begins for those who want to take it.

Three pillars. *The same three that define the brand.*

Drive • Train • Compete isn't just our framework — it's how each centre makes money. Each pillar carries multiple streams. Together they compound.

DRIVE

The volume — anyone can come

Per-session rigs

30-min · ₹750 · 1-hr · ₹1,250
Pass 8 · ₹8K/mo · Pass 16 · ₹14K/mo
10-hr prepaid pack (~15% off)
Motion rig premium · +₹500/hr

Group • Corporate • Private

Corporate team days · ₹40-60K
Birthday parties · ₹15-25K
Private nights · ₹30-50K
Brand activations / content shoots

Café • Merch • F&B

Café · ₹150-400 avg ticket
Branded merch · event-day kits
Photo / content rentals

TRAIN

The depth — sim to real

The Motorsport Academy

Initiation · 4 sessions · ₹8K
Race Academy · 8 sessions · ₹20K
Rally School · 10 sessions · ₹25K
Pro Track · bespoke
1-on-1 coaching · ₹2.5-3.5K/hr

Pro Driver Training (B2B)

Sim + telemetry coaching for real motorsport teams
Per-event or retainer pricing

Real Driving Experiences

Through ARKA + Buzzing Hornet partnerships

ARKA Real Drive · ₹1.75L · **43% GM**

Buzzing Hornet Real Drive · ₹2.25L · **44% GM**

Sim morning + real-car afternoon at the track

COMPETE

The brand engine

Championship participation

Round entry · ₹2.5-5K
Season pass · ₹15-25K
Qualifying events · ₹500-1.5K

Championship operating profits

Centre share of national championship
Hosted round share
Sponsorship revenue share
Broadcast + streaming revenue
Content monetisation

As the network grows, each centre's Compete pillar **compounds** — every championship round, every leaderboard, every sponsor adds value to every centre.

₹2.5 cr Y5 revenue per mature centre • multi-stream resilience • Compete compounds with every new centre.

Chennai is what *every centre will look like.*

We've built the single-centre business case bottom-up. **₹95L Y1 investment. ₹5.16 cr 5-year EBITDA. 25-month payback.** Every centre in the network — Mumbai, Bangalore, Delhi, all of them — runs to this template, adjusted for city.

Y1 CASH NEED

₹95L

₹72L capex + ₹23L WC

PAYBACK

25_{mo}

Q1 of Year 3

5Y CUMULATIVE EBITDA

₹5.16_{cr}

5.4× capital multiple

Y5 EBITDA MARGIN

68%

Break-even at 23%

CHENNAI P&L • ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, events, Academy, Real Drives, Track Day)	9.8	22.5	38.2	52.1	65.1	187.7
Total revenue	68.9	127.6	180.1	222.9	261.7	861.2
Total opex (incl. COGS)	53.8	62.3	69.5	76.3	83.2	345.1
EBITDA	15.1	65.3	110.6	146.6	178.5	516.1
EBITDA margin %	22%	51%	61%	66%	68%	60%
PAT (after dep + 25% tax)	3.2	40.8	74.8	101.8	125.7	346.2

Full Chennai proposal in the companion deck (12 slides). Numbers locked. Investor-grade.

Mega Flagship and Boutique. *Different roles. Shared brand.*

BOUTIQUE

The Chennai template, replicated

Footprint	1,200-2,000 sq ft
Rigs	6 (5 Rally + 1 Motion)
Capex per centre	~₹95 L
Y5 revenue	₹2.5 cr
Y5 EBITDA margin	~67%
Payback	~26 months
Capital multiple (5Y)	5.2×

Role: volume + training + local community. Most centres are Boutiques — **82 of 100** at saturation.

MEGA FLAGSHIP

F1 Arcade-style experience venue

Footprint	4,000-6,000 sq ft
Rigs	12-18 (mix of Rally + Motion)
Capex per centre	~₹4-5 cr
Y5 revenue	₹5-7 cr
Y5 EBITDA margin	30-35%
Payback	~36 months
Capital multiple (5Y)	4.5×

Role: brand + events + championship rounds + premium F&B. **18 Megas** at saturation — multiple per Tier 1 metro.

Both formats share the Drive • Train • Compete framework, the same premium hardware stack, and the ARKA pedigree. *The difference is scale, not DNA.*

From one centre in 2026 *to 100 owned-and-operated by 2030.*

Y1 · 2026	Chennai opens. Operating playbook documented as the network prototype. Hot Lap dealer pool live across 4 cities.	1 centre · ₹0.7 cr rev
Y2 · 2027	Mumbai Mega Flagship opens (Powai). 6 Boutiques across Hyderabad · Bangalore · Gurgaon · Pune · Kochi · Coimbatore. National Championship Season 1 launches.	8 centres · ₹12-15 cr
Y3 · 2028	Bangalore + Delhi-NCR Megas open. 14 Boutiques fill Tier-1 second locations (Whitefield · Gachibowli · Bandra · OMR · Noida · Hinjewadi · Banjara Hills) + first Tier-2 cities (Jaipur · Chandigarh · Ahmedabad · Indore · Lucknow · Surat · Vadodara).	25 centres · ₹50-60 cr
Y4 · 2029	8 Megas open (Hyderabad · Pune · Ahmedabad · Mumbai-Bandra · Bangalore-Whitefield · Delhi-Noida · Chennai-OMR · Gurgaon-2). 27 Boutiques across Tier-1 third locations + 12 new Tier-2 cities.	60 centres · ₹160-180 cr
Y5 · 2030	6 final Megas + 34 Boutiques. Network fills out Tier-1 fourth locations, all Tier-2 metros, and entry into top Tier-3 cities. India saturated at 100 centres, all owned.	100 centres · ₹320-360 cr

18 Mega Flagships across Tier-1 metros · 82 Boutiques across Tier-1 second/third locations and 30+ Tier-2/Tier-3 cities · All owned and operated by RaceSims. Every centre runs the Chennai template.

₹340 cr revenue. ₹110 cr EBITDA. All to RaceSims.

TOTAL CENTRES 100 All owned & operated	REVENUE ₹340 cr 100% RaceSims direct	EBITDA ₹110 cr ~32% blended margin	Y5 VALUATION ₹3.5-4.5 K cr 10-15× revenue
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REVENUE STREAM • Y5	VOLUME	₹/UNIT	RACESIMS REVENUE
Mega Flagship centres	18	₹6 cr	₹108 cr
Boutique centres	82	₹2 cr	₹164 cr
Hardware sales to consumers (100 centres as showroom)	—	—	₹35 cr
Championship sponsorships + broadcast	—	—	₹12 cr
Training programmes + corporate	—	—	₹15 cr
VMS SaaS (external customers)	—	—	₹3 cr
Total Y5 revenue • all to RaceSims			~₹337 cr

No franchise leakage. Every rupee of network revenue accrues to RaceSims. Centre margins (35%) × 100 centres + adjacency margins (45-50%) drive ~₹110 cr EBITDA at Y5.

₹100-120 cr external across two rounds. *Operating cash funds the back half.*

5-YEAR CAPITAL DEPLOYMENT (₹ CR)

YEAR	CENTRES CAPEX	BRAND + HQ	TOTAL
Y1 · 2026	1.0	0.5	1.5
Y2 · 2027	10.5	4.0	14.5
Y3 · 2028	27.0	8.0	35.0
Y4 · 2029	62.0	10.0	72.0
Y5 · 2030	60.0	12.0	72.0
5-year total	160.5	34.5	~₹195 cr

Operating cash from mature centres covers ~₹75-90 cr of the back-half spend.

THE FUNDING LOGIC

All-owned model is capex-heavier upfront but captures 100% of network revenue. Two rounds across the 5-year arc.

Series A · now

₹35-40 cr · funds Y1 (Chennai) + Y2 (Mumbai Mega + 6 Boutiques in metros) + Championship Season 1 launch + brand build + HQ team build.

Series B · Y3

₹70-90 cr at ₹600-800 cr valuation · accelerates Y3-Y4 buildout (25 → 60 centres). 25 operating centres + Championship S2 + ₹50 cr revenue run-rate as the proof points.

By Y5, operating cash from 60+ mature centres self-funds the final 40 openings.

All owned. All operated. *No franchise leakage, no brand dilution.*

WHY OWNED BEATS FRANCHISED

LENS	FRANCHISE	OWNED
Revenue capture per centre	6% royalty	100%
Hardware margin (centres)	~15% wholesale	30-40% retail
Brand control (CX, design, ops)	Variable	Absolute
Network compounding	Slow	Immediate
Speed of brand-standard rollout	Months per centre	Weeks
Capex per centre	0 (franchisee pays)	₹95L-₹4.5cr
Y5 revenue per centre to RaceSims	~₹12-15 L	₹2-6 cr

Trading capital intensity for revenue capture. The full upside accrues to RaceSims and its shareholders.

WHY THIS IS THE RIGHT STRUCTURE

- **Brand integrity is the moat.** Motorsport is unforgiving — one bad-experience franchisee can poison the brand in a city. Owned operation means every customer experience is brand-controlled.
- **Hardware distribution leverage compounds.** 100 owned centres × ~₹35L/yr Y5 hardware-to-consumer = ₹35 cr revenue stream that doesn't exist in a franchise model.
- **Championship integrity.** All centres run the same championship system, the same broadcast standard, the same sponsor experience — no franchise variability undermining the league.
- **Talent pipeline.** RaceSims-trained centre managers become regional ops leaders → city heads → next-generation founders. A franchise model breaks that career ladder.
- **Exit optionality.** A 100-owned-centre business sells at 10-15× revenue. A 100-franchise business sells at 4-6× royalty stream. **Same network, 3-4× the exit value.**

Capital-heavier upfront. Materially bigger Y5 outcome. Cleaner exit.

Five moats. *What we hold that no one else can replicate.*

01 · PEDIGREE MOAT

ARKA exclusivity + The Ladder

Founder is a working race engineer at **ARKA Motorsports** (130+ national championship titles since 1987). First Academy graduates in real ARKA seats by Y3. Years to build, almost impossible to replicate from cold.

02 · INTEGRATION MOAT

Centres + championship + curriculum + sim-to-real

The only brand in India running the full stack under one roof. Hardware-only and community-only competitors play one slice. **We play the whole.**

03 · COST MOAT

Premium hardware distribution rights

Official India distributor and service partner for world-leading premium sim racing hardware brands — favourable economics on every centre. Every owned centre also doubles as a consumer showroom, driving a **₹35 cr Y5 hardware-to-consumer revenue stream** on top of centre revenue.

04 · NETWORK MOAT

100 owned centres feeding one brand

25 centres by Y3 · 100 by Y5 — leaderboards, championship rounds, member migrations all compound across an owned network. No franchisee operating-standard variance. The brand becomes a **tightly-run flywheel**, not a venue chain.

05 · BRAND MOAT

"Motorsport Academy graduate" as a credential

"*Motorsport Academy graduate*" becomes a recognised mark inside the Indian motorsport ecosystem. **RaceSims Champion** means something. Years to earn, permanent once landed.

Together they compound

Each moat alone is meaningful. Together they form a **defensive structure no specialist competitor can assemble in under 5 years** — even with capital.

₹3,500-4,500 cr at Year 5. *Realistic, not aspirational.*

THREE VALUATION LENSES · Y5

LENS	MULTIPLE	VALUATION
Revenue (premium growing brand)	10-12×	₹3,400-4,080 cr
EBITDA (mature platform)	25-30×	₹2,750-3,300 cr
Strategic (PE / sports group)	12-15× rev + growth	₹4,080-5,100 cr
Realistic Y5 range		₹3,500-4,500 cr
With adjacency stack layered (international, junior academy, merch retail, college curriculum)		₹4,500-6,000 cr

EXIT SCENARIOS

- **IPO** · Y5-Y6 at ₹4,000 cr+ on 100-centre owned network + ₹340 cr revenue base
- **Strategic acquisition** · Indian sports conglomerate (Tata · Reliance · Mahindra Racing), global esports / entertainment group
- **PE growth fund** · build-and-hold to ₹10,000 cr+ via international expansion (US · UK · UAE)
- **Continued private at scale** · founder retains majority through Series A + B; subsequent rounds optional

COMPARABLE BENCHMARKS

- Topgolf · acquired by Callaway for \$2 B (~₹16,000 cr)
- F1 Arcade (global): NYSE-traded · comparable owned-network model
- Cure.fit / Cult.fit at peak: \$1.5 B (~₹12,000 cr)

Premium · scarce · category-defining. *India's gateway to motorsport, owned end-to-end.*

₹35-40 cr Series A. *Built to compound to ₹4,000 cr.*

USE OF FUNDS

- **Chennai flagship** · ₹1 cr
- **Mumbai Mega Flagship** · ₹4-5 cr
- **6 Boutiques (metros)** · ₹6 cr
- **Marketing + brand build** · ₹6-8 cr
- **Championship S1 launch** · ₹3-4 cr
- **VMS platform + tech team** · ₹3 cr
- **HQ ops + working capital** · ₹8-10 cr

WHAT IT RETURNS

- **8 centres operating** by end of Y2
- **25 centres · ₹10-12 cr EBITDA** by end of Y3
- **₹600-800 cr** Series B valuation at Y3
- **₹3,500-4,500 cr** Y5 valuation
- **80-120× return** potential on Series A
- **Operating cash positive** by Y3 — funds back half

TIMELINE

- **Close Series A** · 90 days from term sheet
- **Chennai open** · Q3 2026
- **Mumbai Mega open** · Q2 2027
- **8 centres operating** · End Y2
- **25 centres + Championship S2** · End Y3
- **Series B** · End Y3 · ₹70-90 cr

We built the unit economics. We built the brand. Now we want to build the network.

Help us put the next great Indian driver on a real grid by 2029.